



Qualification Programme Examination Panelist's Report

Module 10 – Business and Company Law (December 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Written Questions

General Comments

The paper was three hours in duration and consisted of six questions. The marks allocation among the nine major topics of this examination paper was as follows:

1. Company Law: 40%
2. Law for Public Companies: 10%
3. The Hong Kong Legal System and Regulatory Authorities: 5%
4. Law of Tort and Negligence: 10%
5. Law of Contract: 10%
6. Law of Consumer Protection: 5%
7. Law of Employment: 10%
8. Law of Prevention of Bribery & Corruption and Anti-Money Laundering: 5%
9. Law of Agency: 5%

This paper was set on the syllabus prescribed by HKICPA, which covers the important topics on business and company law.

Candidates performed well on questions covering popular topics such as the laws of employment, agency and partnership. This can be seen in Questions 1(a), 3(a) and 4(a). Candidates also did well on straightforward questions such as Question 5(b), which was about the grounds for winding-up of a company.

Some questions required candidates to demonstrate their analytical skills and apply legal principles to case scenarios with reference to case laws and/ or legislation. Stronger candidates were able to demonstrate the analytical skills required for these questions, while weaker candidates failed to perform well on these questions. More detail can be found in the specific comments below for Questions 3(b), 4(b) and 6(b).



Specific Comments

Question 1(a) – 10 Marks

This question required candidates to analyse the distinction between an employee and an independent contractor. Most candidates correctly identified the various relevant tests for distinguishing between an employee and an independent contractor. However, many candidates concluded that the person in the question was an independent contractor instead of an employee.

Question 1(b) – 5 Marks

This question required candidates to discuss the jurisdiction of the Labour Tribunal. As most candidates regarded the person in the question as an independent contractor, they concluded that the Small Claims Tribunal instead of the Labour Tribunal had the jurisdiction to deal with the claim in the question.

Question 2(a) – 5 Marks

This question required candidates to discuss the rules of an offer and its acceptance. Most candidates answered this question well and correctly explained the relevant concepts of offer and counter-offer. However, the answers of some weaker candidates were too short.

Question 2(b) – 5 Marks

This question required candidates to discuss the rules of consideration under contract law. Most candidates accurately explained the concept of consideration and the rule regarding adequacy of consideration. However, some candidates were unable to explain why the consideration referred to in the question was valid, or wrongly discussed the concept of past consideration.

Question 2(c) – 5 Marks

This question required candidates to discuss the rules regarding the passing of risk in the sale of goods. Many candidates correctly identified the principle of *nemo dat quod non habet*. Some candidates managed to answer the question with reference to the Sale of Goods Ordinance (Cap.26), while some only briefly explained the principle of *nemo dat quod non habet* without applying the relevant provisions under Cap.26.



Question 3(a) – 5 Marks

This question required candidates to discuss the creation of agency. As this is a popular and straightforward question, most candidates answered this question well. However, some candidates only focused on agency by estoppel.

Question 3(b) – 10 Marks

This question required candidates to discuss and apply the concept of negligent misstatement. Many candidates only discussed the general principles of negligence while some even discussed different types of misrepresentation, which is not required in the question.

Question 4(a) – 10 Marks

This question required candidates to explain the duties and liabilities of partners. As this is a popular and straightforward question, most candidates answered the question well.

Question 4(b) – 5 Marks

This question required candidates to discuss anti-money laundering laws of Hong Kong. Many candidates correctly identified the legal issue of money laundering; however, very few candidates applied the relevant case law, while some candidates only focused on the provisions regarding the reporting of suspicious transactions.

Question 5(a) – 10 Marks

This question required candidates to discuss what constitutes unfair prejudicial conduct under s.724 of the Companies Ordinance (Cap.622). Most candidates correctly explained the relevant section of Cap.622 and what constitutes unfair prejudicial conduct. Many candidates also applied the relevant case law in support of their answer.

Question 5(b) – 10 Marks

This question required candidates to discuss the grounds for winding up a company under s.177(1) of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32). Most candidates correctly explained the relevant provisions under Cap.32. Stronger candidates applied the relevant case law to support their answer.

Question 6(a) – 10 Marks

This question required candidates to discuss how to convert a private company into a public company. This is a very straightforward question. Those candidates who were well-prepared answered this question well; however, many candidates did not seem to understand the question and did not answer the question correctly.



Question 6(b) – 10 Marks

This question required candidates to discuss the listing requirements for companies with a Weighted Voting Rights ("WVR") Structure. Most candidates did not perform well in this question, and some did not even write an answer. Most candidates only discussed the general listing requirements and did not identify the relevant requirements under Chapter 8A of the listing rules.

(II) Conclusion and Recommendation

Overall, candidates performed well on popular topics such as laws of employment, agency and partnership. However, it appears that candidates might not have sufficiently covered the syllabus in depth and thus did not perform well on less common topics such as anti-money laundering, converting a private company into a public company, and the listing requirements for companies with a WVR Structure. This paper aims to cover all topics to test the candidates' ability to apply their legal knowledge in specific situations. As a result, candidates are advised to study all important business and company law topics. It is not advisable for candidates to focus only on just two to three topics.

Some candidates showed difficulty in identifying the key issues of the question. As a result, many candidates chose to write what they knew about the topic and failed to identify and discuss the specific issues of the question. Candidates are reminded to apply the relevant legal principles to resolve the issues in the questions in order to score higher marks.

Most candidates were able to complete all the questions of the paper within the prescribed time, whereas some candidates did not answer all parts of the questions. Candidates are reminded to make a reasonable attempt to answer all the questions.

As most of the topics in the syllabus, such as contract law and company law, are governed by case law as well as legislation, candidates are advised to study and apply both case laws and legislation in answering questions.